Week 6-1 & 6-2
Lecture Note

The Recording Process – Adjusting Entries

(회계기록과정
– 수정 분개)

Principles of Accounting

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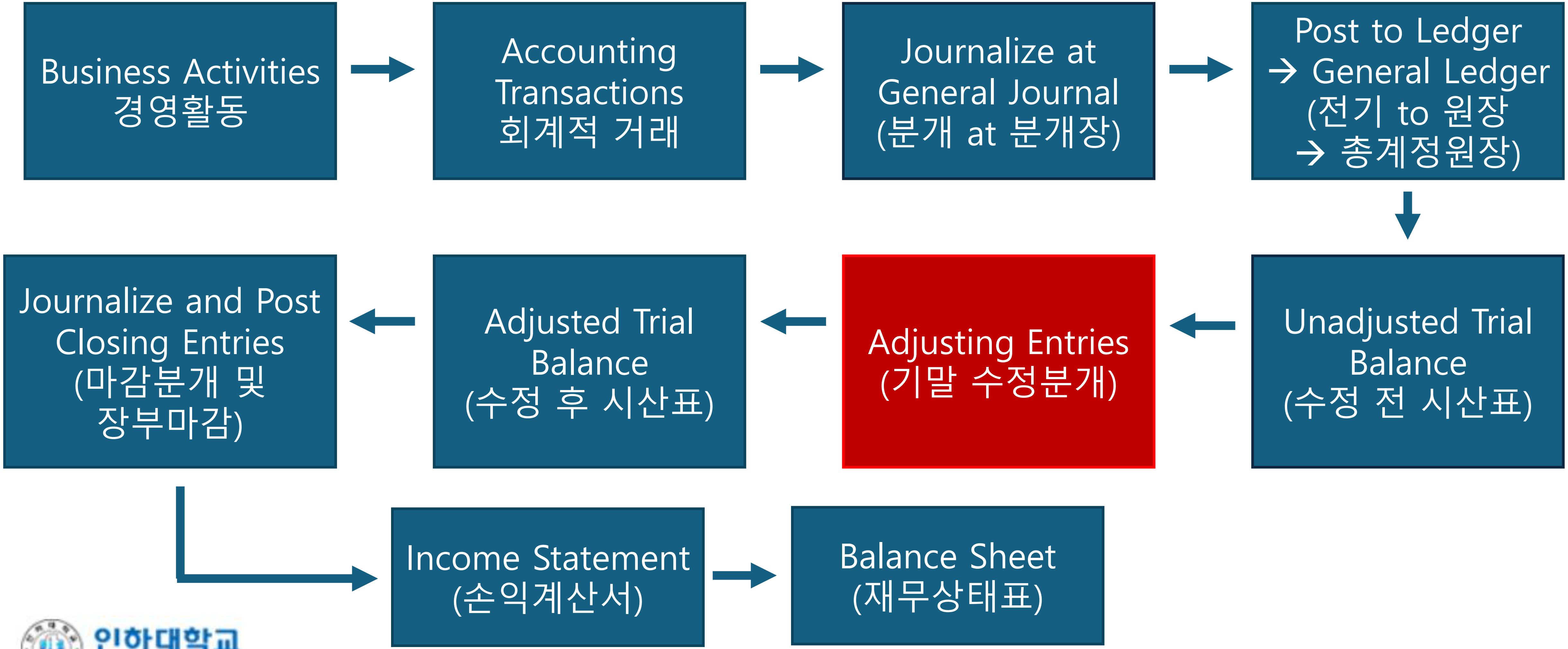
Adjusting the Accounts (수정 분개)
- Depreciation (감가상각)

The Recording Process

- This process is known as "the accounting cycle"



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Adjusting the Accounts

Concept of Depreciation

- **Expired Cost (소멸원가)**
  - Sale, use, or consumption of assets → Decrease in assets, recorded as expense (increase in cost)
  - Raw materials → Direct material cost → Product → Cost of goods sold
  - Merchandise → Cost of goods sold
  - Supplies → Supplies expense
  - **Buildings, structures, equipment, vehicles, etc. (long-term use assets)**
    → Depreciation expense

Adjusting the Accounts

Depreciation (감가상각)

- Depreciation **allocates an asset's cost** to the periods in which it is **used**.
- Depreciation does **not** attempt to report the **actual change in the value** of the asset.
- Allocates cost of Property, Plant and Equipment (PP&E) to expense over useful lives
- Examples of PP&E:
    - Buildings
    - Equipment
    - Furniture

Oct. 1

Equipment purchased;
record asset

Equipment			
Oct ₺40	Nov ₺40	Dec ₺40	Jan ₺40
Feb ₺40	March ₺40	April ₺40	May ₺40
June ₺40	July ₺40	Aug ₺40	Sept ₺40
Depreciation = ₺480/year			

Oct. 31
Depreciation recognized;
record depreciation expense

Straight Line Depreciation Expense Formula

$$\text{Depreciation expense} = \frac{\text{Cost of fixed asset} - \text{Salvage value}}{\text{Useful life}}$$

Adjusting the Accounts

Accumulated Depreciation (감가상각누계액)

- Sum of all depreciation expense

  → Contra-asset account (차감자산 계정) with a credit balance that offsets the related long-term asset, which has a normal debit balance

- Net Book Value = (Acquisition) Cost – Accumulated Depreciation

Asset:	
Equipment	\$100,000
Accumulated Depreciation	\$30,000
Net Asset Value	**\$70,000**

Adjusting the Accounts

- **Depreciation Question**

Assume: For Yazici Advertising, depreciation on equipment is ₺480 a year, or ₺40 per month.

Demonstrate: How do you record the adjustment for depreciation?

Adjusting the Accounts

- **Depreciation Solution**

Basic Analysis

The expense Depreciation Expense is increased ₺40; the contra asset Accumulated Depreciation—Equipment is increased ₺40.

Equation Analysis

Assets	=	Liabilities	+	Equity
Accumulated Depreciation—Equipment				Depreciation Expense
−₺40	=			−₺40

Debit–Credit Analysis

Debits increase expenses: debit Depreciation Expense ₺40.
Credits increase contra assets: credit Accumulated Depreciation—Equipment ₺40.

Journal Entry

Oct. 31	Depreciation Expense	711	40	
	Accumulated Depreciation—Equipment	158		40
	(To record monthly depreciation)			

Posting

Equipment		157
Oct. 1	5,000	
Oct. 31 Bal.	5,000	

Accumulated Depreciation—Equipment		158
	Oct. 31	**Adj. 40**
	Oct. 31	Bal. 40

Depreciation Expense		711
Oct. 31	**Adj. 40**	
Oct. 31	Bal. 40	

Adjusting the Accounts

Depreciation – Statement Presentation

- Use of a contra account to disclose both the cost of the equipment and total cost expensed to date.
- Book value or carrying value: Difference between the cost of any depreciable asset and its related accumulated depreciation.

Equipment	₺5,000
Less: Accumulated depreciation—equipment	40
	₺4,960

Illustration 3.9 Statement of financial position presentation of accumulated depreciation

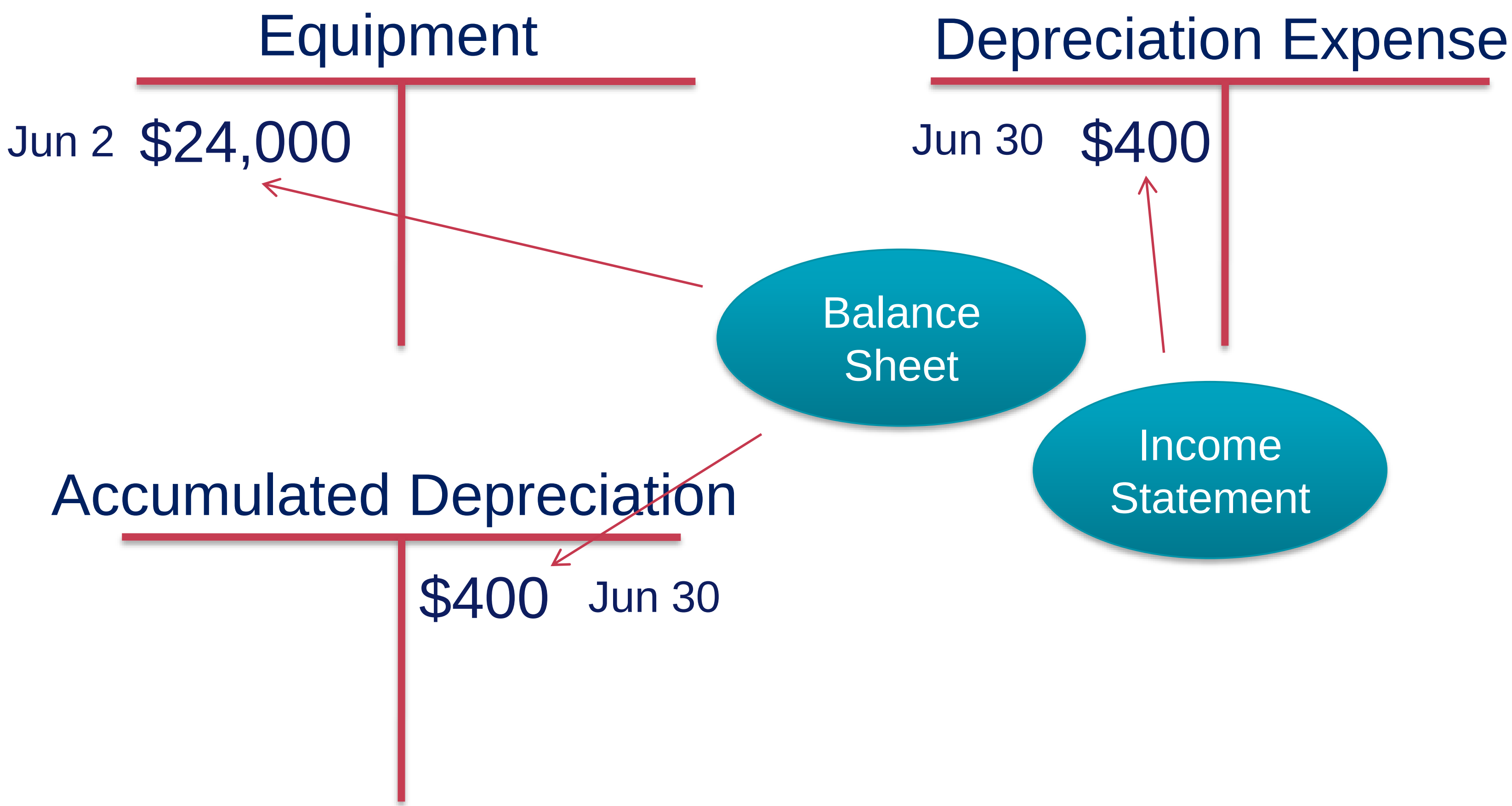
Adjusting the Accounts

- **Journalizing of depreciation**

JOURNAL			
Date	*Accounts and explanation*	Debit	Credit
Jun 2	Equipment	24,000	
	Cash		24,000
Jun 30	Depreciation expense	400	
	Accumulated depreciation		400

Adjusting the Accounts

- **T-account**



Adjusting the Accounts

- **Book Value**

Balance Sheet June 30, 2010		
Equipment	$24,000	
Less: Accumulated Depreciation	(400)	
Book value		$23,600

Adjusting the Accounts

Summary of the Adjusting Process

- Two purpose of adjusting process
  - Measure income
  - Update balance sheet

- Every adjuting entry affects at least one:
  - Revenue or expense
  - Asset or liability

Adjusting the Accounts

Summary of the Adjusting Process

	Type of Account	
Category of Adjustment	**Debit**	**Credit**
Prepaid expense	Expense	Asset
Depreciation	Expense	Contra asset
Accrued expense	Expense	Liability
Accrued revenue	Asset	Revenue
Unearned revenue	Liability	Revenue

Week 6-1 & 6-2
Lecture Note

The Recording Process
회계 기록 과정

Principles of Accounting

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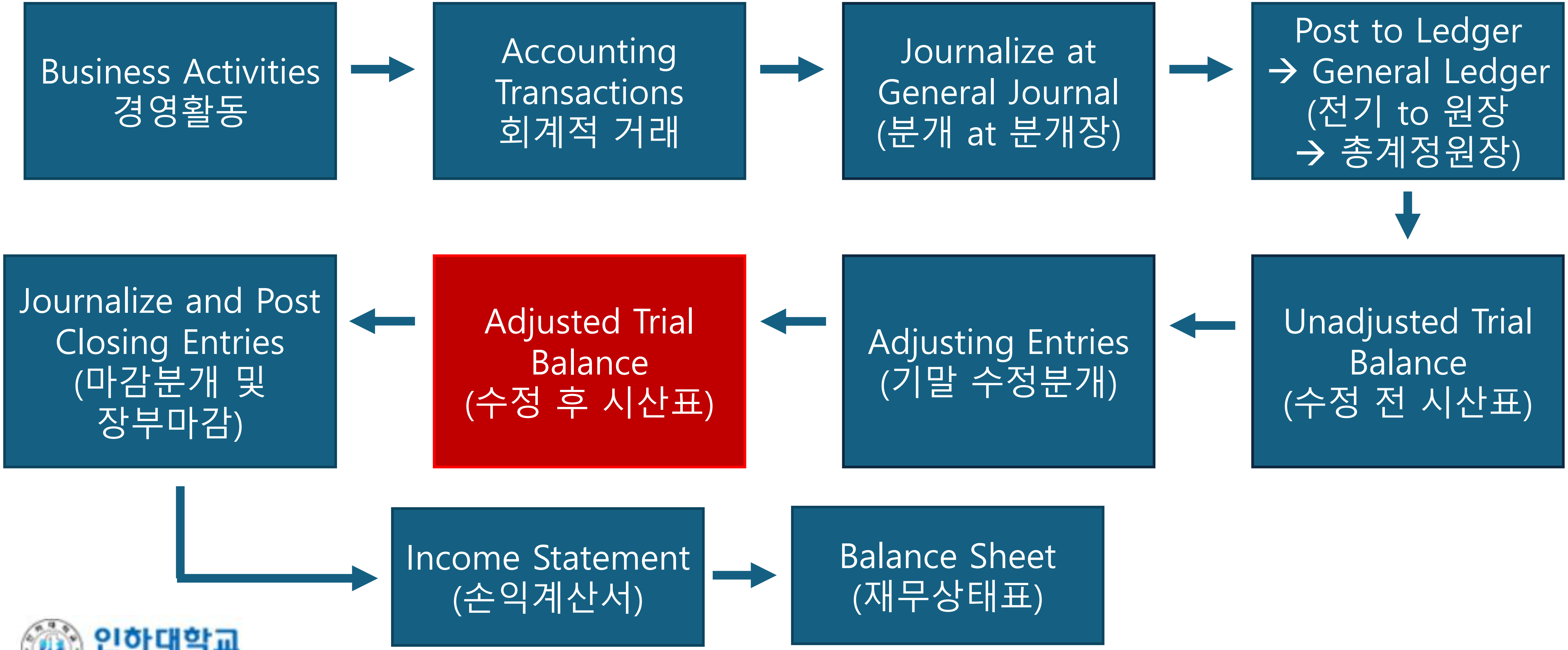
Adjusted Trial Balance

The Recording Process

- This process is known as “the accounting cycle”



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Adjusted Trial Balance

- Shows the balance of all accounts, including those adjusted
- Proves the equality of the total debit balances and the total credit balances in the ledger after all adjustments
- Primary basis for the preparation of financial statements

Adjusted Trial Balance

Illustration 3.26
Adjusted trial balance

Yazici Advertising A.Ş.
Adjusted Trial Balance
October 31, 2025

	Debit	Credit
Cash	₺15,200	
Accounts Receivable	**200**	
Supplies	**1,000**	
Prepaid Insurance	**550**	
Equipment	5,000	
Accumulated Depreciation—Equipment		**₺ 40**
Notes Payable		5,000
Accounts Payable		2,500
Interest Payable		**50**
Unearned Service Revenue		**800**
Salaries and Wages Payable		**1,200**
Share Capital—Ordinary		10,000
Retained Earnings		–0–
Dividends	500	
Service Revenue		**10,600**
Salaries and Wages Expense	**5,200**	
Supplies Expense	**1,500**	
Rent Expense	900	
Insurance Expense	**50**	
Interest Expense	**50**	
Depreciation Expense	**40**	
	₺30,190	**₺30,190**

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Adjusted Trial Balance

Unadjusted Trial Balance

Yazici Advertising A.Ş.
Trial Balance
October 31, 2025

	Debit	Credit
Cash	₺15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		₺ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Share Capital—Ordinary		10,000
Dividends	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	₺28,700	**₺28,700**

Adjusted Trial Balance

Yazici Advertising A.Ş.
Adjusted Trial Balance
October 31, 2025

	Debit	Credit
Cash	₺15,200	
Accounts Receivable	**200**	
Supplies	**1,000**	
Prepaid Insurance	**550**	
Equipment	5,000	
Accumulated Depreciation—Equipment		**₺ 40**
Notes Payable		5,000
Accounts Payable		2,500
Interest Payable		**50**
Unearned Service Revenue		**800**
Salaries and Wages Payable		**1,200**
Share Capital—Ordinary		10,000
Retained Earnings		–0–
Dividends	500	
Service Revenue		**10,600**
Salaries and Wages Expense	**5,200**	
Supplies Expense	**1,500**	
Rent Expense	900	
Insurance Expense	**50**	
Interest Expense	**50**	
Depreciation Expense	**40**	
	₺30,190	**₺30,190**

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Preparing Financial Statement

Illustration 3.27 Preparation of the income statement and retained earnings statement from the adjusted trial balance

Yazici Advertising A.Ş.
Adjusted Trial Balance
October 31, 2025

Account	Debit	Credit
Cash	₺15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		₺ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Share Capital—Ordinary		**10,000**
Retained Earnings		**–0–**
Dividends	**500**	
Service Revenue		**10,600**
Salaries and Wages Expense	**5,200**	
Supplies Expense	**1,500**	
Rent Expense	**900**	
Insurance Expense	**50**	
Interest Expense	**50**	
Depreciation Expense	**40**	
	₺30,190	₺30,190

Yazici Advertising A.Ş.
Income Statement
For the Month Ended October 31, 2025

Revenues		
Service revenue		₺10,600
Expenses		
Salaries and wages expense	₺5,200	
Supplies expense	1,500	
Rent expense	900	
Insurance expense	50	
Interest expense	50	
Depreciation expense	40	
Total expenses		7,740
Net income		₺ 2,860

Yazici Advertising A.Ş.
Retained Earnings Statement
For the Month Ended October 31, 2025

Retained earnings, October 1	₺ –0–
Add: Net income	2,860
	2,860
Less: Dividends	500
Retained earnings, October 31	₺2,360

To statement of financial position

Preparing Financial Statement

Illustration 3.28 Preparation of the statement of financial position from the adjusted trial balance.

Yazici Advertising A.Ş.
Adjusted Trial Balance
October 31, 2025

Account	Debit	Credit
Cash	₺15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		₺ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Share Capital—Ordinary		10,000
Retained Earnings		–0–
Dividends	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	₺30,190	₺30,190

Yazici Advertising A.Ş.
Statement of Financial Position
October 31, 2025

Assets		
Equipment	₺5,000	
Less: Accumulated depreciation—equip.	40	₺ 4,960
Prepaid insurance		550
Supplies		1,000
Accounts receivable		200
Cash		15,200
Total assets		₺21,910
Equity and Liabilities		
Equity		
Share capital—ordinary	₺10,000	
Retained earnings	2,360	₺12,360
Liabilities		
Notes payable	5,000	
Accounts payable	2,500	
Unearned service revenue	800	
Salaries and wages payable	1,200	
Interest payable	50	9,550
Total equity and liabilities		₺21,910

Balance at Oct. 31 from retained earnings statement in Illustration 3.27

Question

Kang Company was organized on April 1, 2025. The company prepares quarterly financial statements. The adjusted trial balance amounts at June 30 are shown below (amounts in millions).

	Debit		Credit
Cash	₩ 6,700	Accumulated Depreciation— Equipment	₩ 850
Accounts Receivable	600	Notes Payable	5,000
Prepaid Rent	900	Accounts Payable	1,510
Supplies	1,000	Salaries and Wages Payable	400
Equipment	15,000	Interest Payable	50
Dividends	600	Unearned Rent Revenue	500
Salaries and Wages Expense	9,400	Share Capital—Ordinary	14,000
Rent Expense	1,500	Service Revenue	14,200
Depreciation Expense	850	Rent Revenue	800
Supplies Expense	200		
Utilities Expense	510		
Interest Expense	50		
	₩37,310		₩37,310

a. Determine the net income for the quarter April 1 to June 30.

b. Determine the total assets and total liabilities at June 30, 2025, for Kang Company.

c. Determine the amount of retained earnings at June 30, 2025.

Solution – a

a. The net income is determined by adding revenues and subtracting expenses. The net income is computed as follows (in millions).

Revenues		
Service revenue	₩14,200	
Rent revenue	800	
Total revenues		₩15,000
Expenses		
Salaries and wages expense	9,400	
Rent expense	1,500	
Depreciation expense	850	
Utilities expense	510	
Supplies expense	200	
Interest expense	50	
Total expenses		12,510
Net income		₩ 2,490

Solution – b & c

b. Total assets and liabilities are computed as follows (in millions).

Assets			Liabilities	
Equipment	₩15,000		Notes payable	₩5,000
Less: Accumulated depreciation—equipment	850	₩14,150	Accounts payable	1,510
			Unearned rent revenue	500
Prepaid rent		900	Salaries and wages payable	400
Supplies		1,000	Interest payable	50
Accounts receivable		600		
Cash		6,700		
Total assets		₩23,350	Total liabilities	₩7,460

c.

Retained earnings, April 1	₩ 0
Add: Net income	2,490
Less: Dividends	600
Retained earnings, June 30	₩ 1,890

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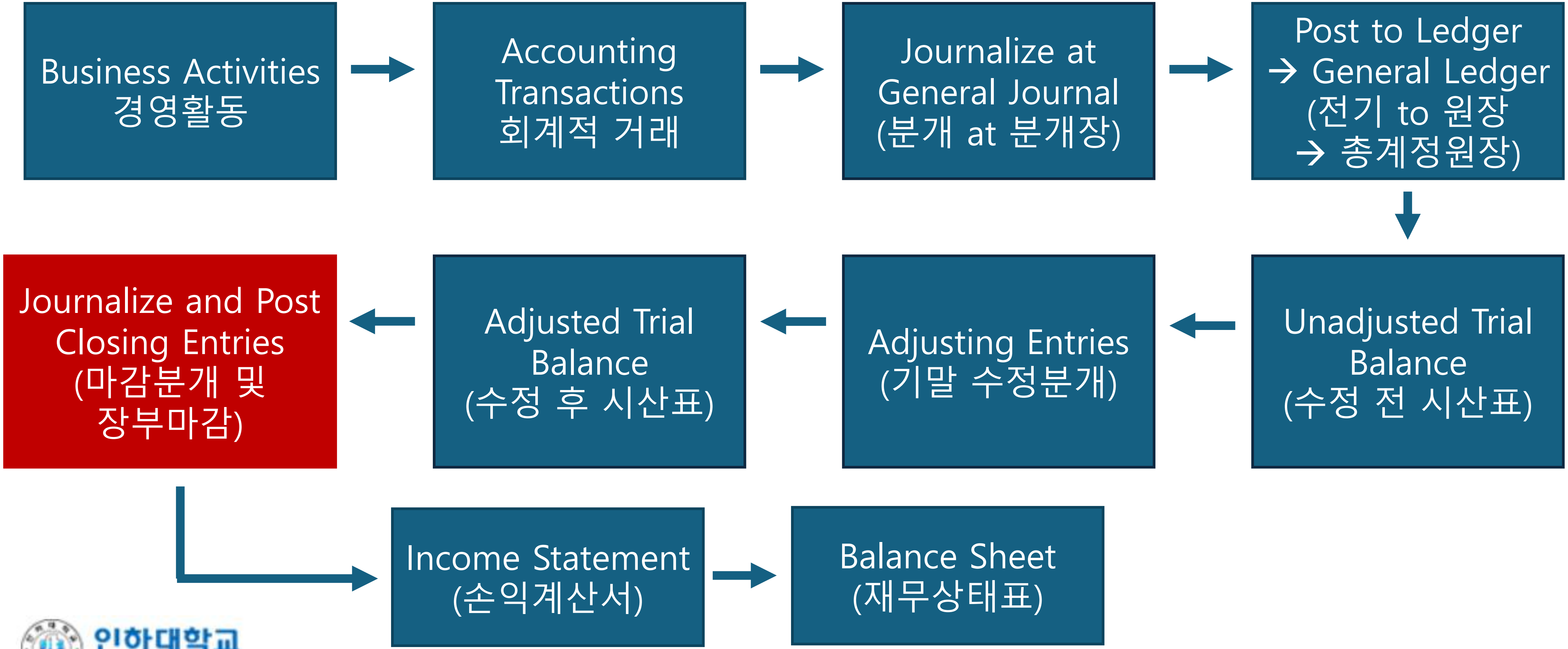
Closing Entries

The Recording Process

- This process is known as “the accounting cycle”



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Temporary versus Permanent Accounts

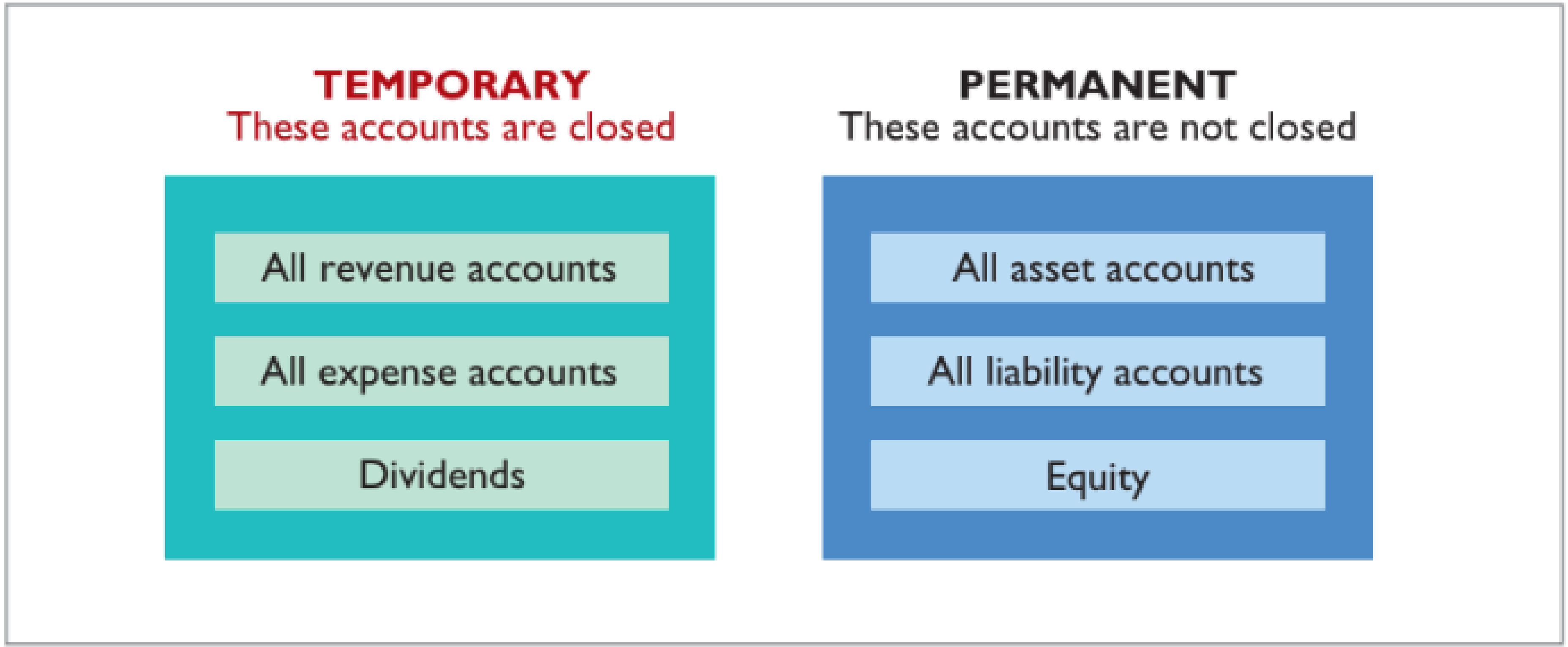


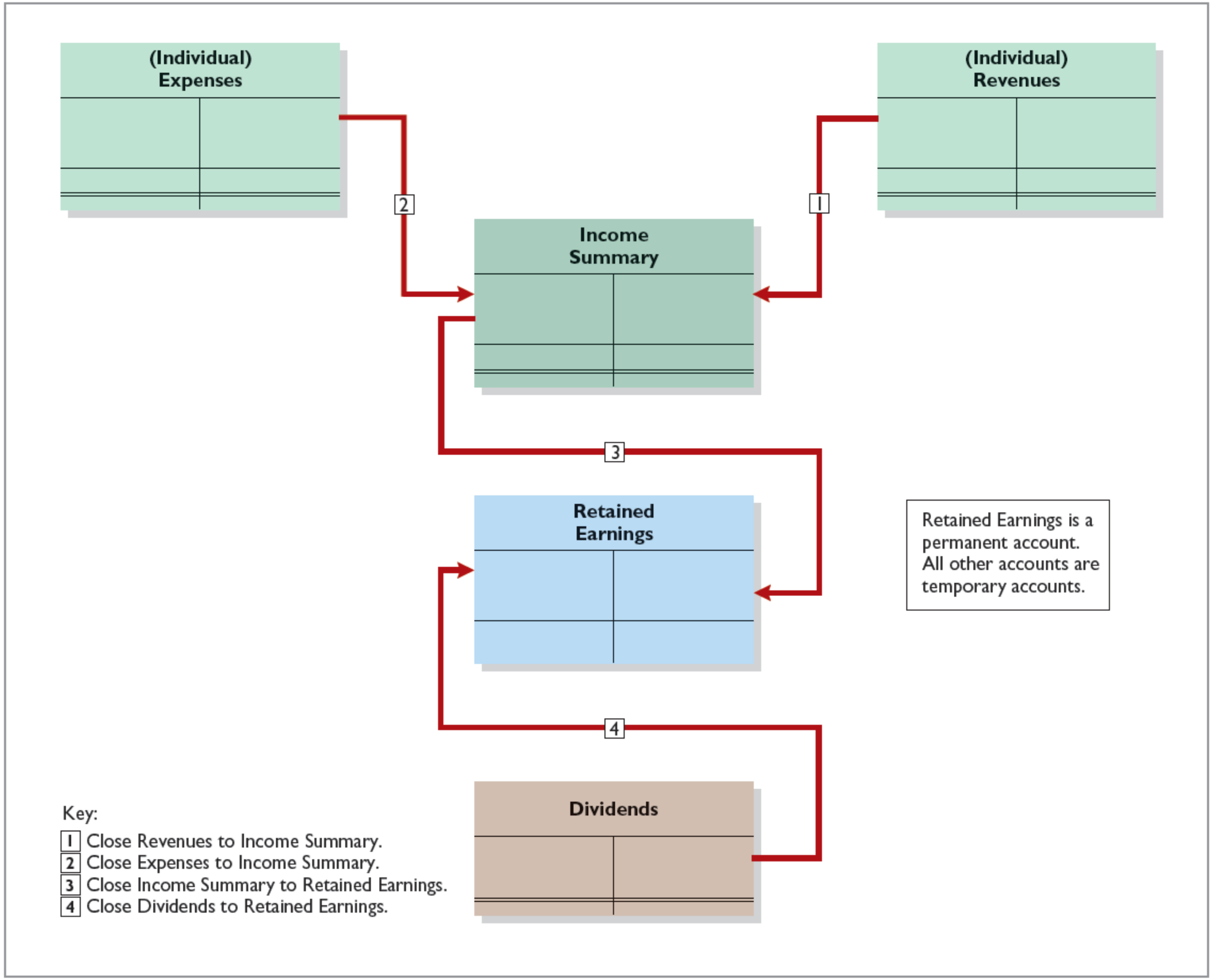
Illustration 4.8: Temporary versus permanent accounts

Preparing Closing Entries

- Closing entries formally recognize in the ledger the transfer of:
  - Net income (or net loss) and Dividends to retained earnings
  - Produce a zero balance in each temporary account (revenues and expenses)
  - Companies generally journalize and post closing entries only at the end of the annual accounting period.

Preparing Closing Entries (Diagram)

Illustration 4.9: Diagram of closing process



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Closing Entries Illustrated

Illustration 4.10: Closing entries journalized

GENERAL JOURNAL				J3
Date	**Account Titles and Explanation**	**Ref.**	**Debit**	**Credit**
	Closing Entries			
2025	(1)			
Oct. 31	Service Revenue	400	10,600	
	Income Summary	350		10,600
	(To close revenue account)			
	(2)			
31	Income Summary	350	7,740	
	Supplies Expense	631		1,500
	Depreciation Expense	711		40
	Insurance Expense	722		50
	Salaries and Wages Expense	726		5,200
	Rent Expense	729		900
	Interest Expense	905		50
	(To close expense accounts)			
	(3)			
31	Income Summary (₺10,600 – ₺7,740)	350	2,860	
	Retained Earnings	320		2,860
	(To close net income to retained earnings)			
	(4)			
31	Retained Earnings	320	500	
	Dividends	332		500
	(To close dividends to retained earnings)			

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Rules for Debit and Credit Recording

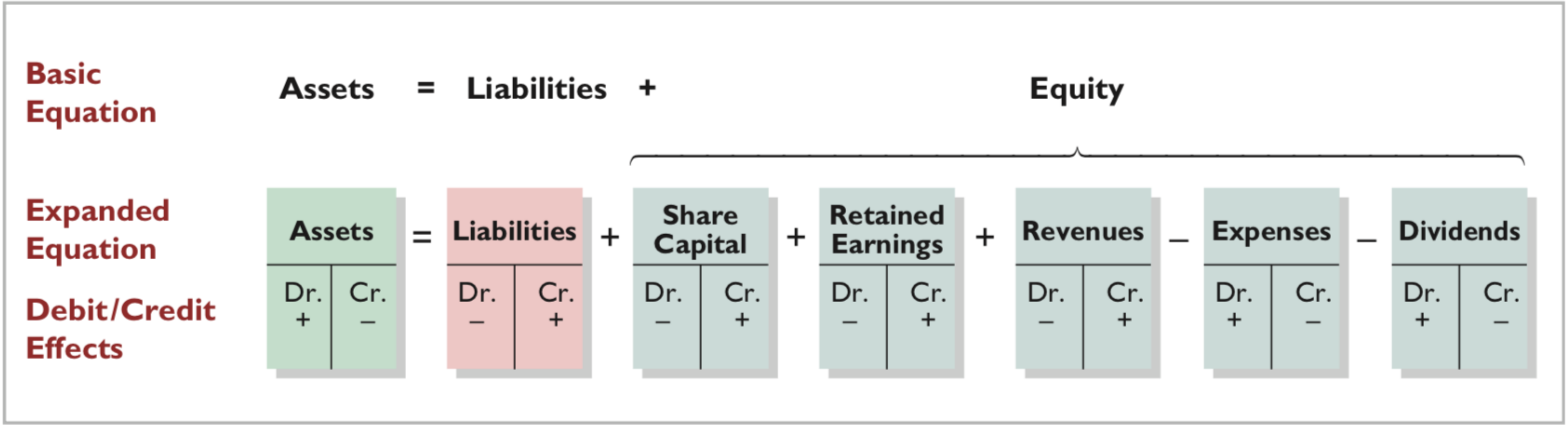
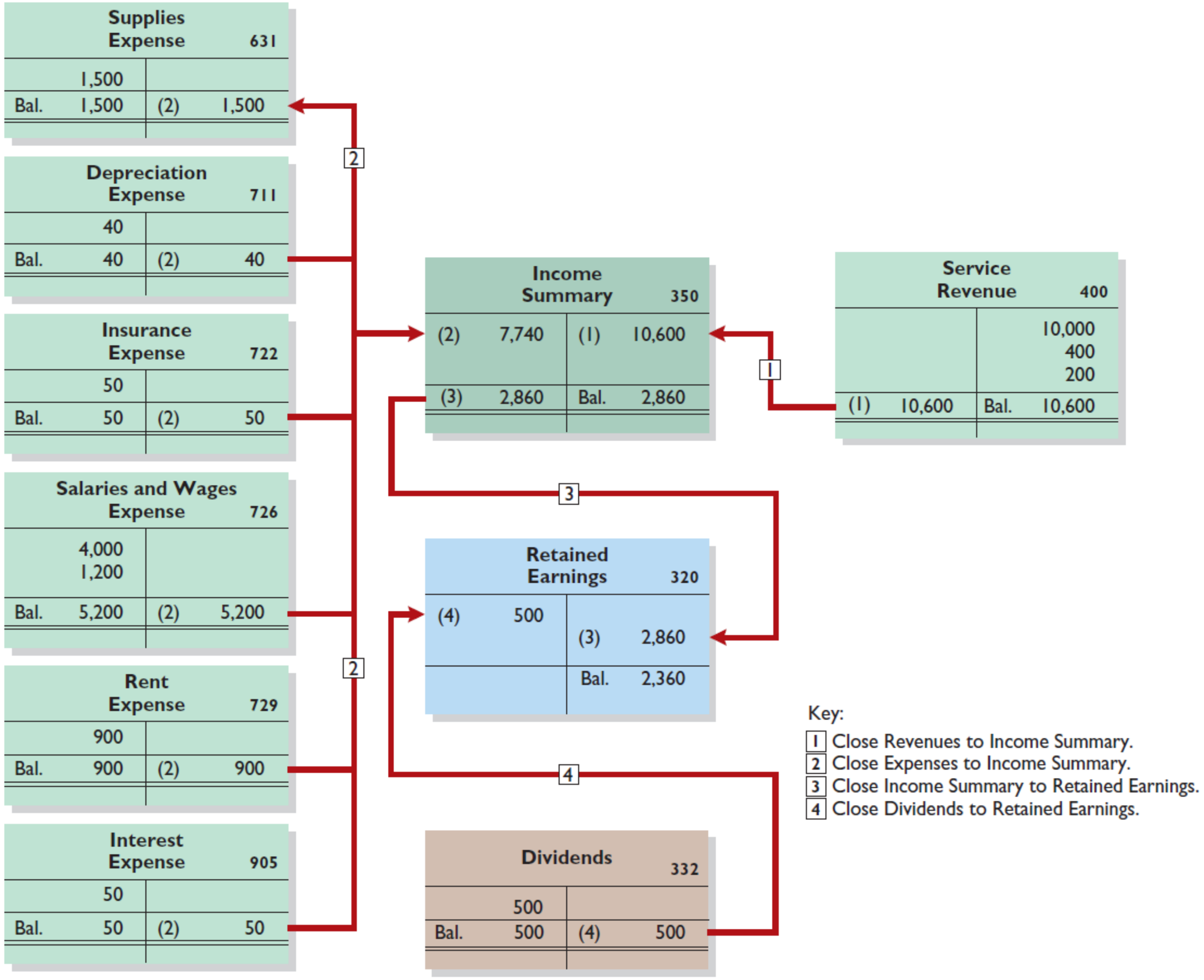


Illustration 2.12: Summary of debit/credit rules

Posting of Closing Entries

Illustration 4.11: Posting of closing entries



Post-Closing Trial Balance

Illustration 4.12: Post-closing trial balance

Yazici Advertising A.Ş. Post-Closing Trial Balance October 31, 2025		
	Debit	Credit
Cash	₺15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		₺ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Share Capital—Ordinary		10,000
Retained Earnings		2,360
	₺21,950	₺21,950

General Ledger – Permanent Accounts

(Permanent Accounts Only)

GENERAL LEDGER

Cash — No. 101

Date		Explanation	Ref.	Debit	Credit	Balance
2025						
Oct.	1		J1	10,000		10,000
	2		J1	1,200		11,200
	3		J1		900	10,300
	4		J1		600	9,700
	20		J1		500	9,200
	26		J1		4,000	5,200
	31		J1	10,000		15,200

Accounts Receivable — No. 112

Date		Explanation	Ref.	Debit	Credit	Balance
2025						
Oct.	31	Adj. entry	J2	200		200

Supplies — No. 126

Date		Explanation	Ref.	Debit	Credit	Balance
2025						
Oct.	5		J1	2,500		2,500
	31	Adj. entry	J2		1,500	1,000

Accounts Payable — No. 201

Date		Explanation	Ref.	Debit	Credit	Balance
2025						
Oct.	5		J1		2,500	2,500

Unearned Service Revenue — No. 209

Date		Explanation	Ref.	Debit	Credit	Balance
2025						
Oct.	2		J1		1,200	1,200
	31	Adj. entry	J2	400		800

Salaries and Wages Payable — No. 212

Date		Explanation	Ref.	Debit	Credit	Balance
2025						
Oct.	31	Adj. entry	J2		1,200	1,200

Interest Payable — No. 230

Date		Explanation	Ref.	Debit	Credit	Balance
2025						
Oct.	31	Adj. entry	J2		50	50

Illustration 4.13 (Partial): General ledger, permanent accounts

General Ledger –Temporary Accounts

(Temporary Accounts Only)

GENERAL LEDGER

Dividends — No. 332

Date	Explanation	Ref.	Debit	Credit	Balance
2025					
Oct. 20		J1	500		500
31	Closing entry	J3		500	–0–

Insurance Expense — No. 722

Date	Explanation	Ref.	Debit	Credit	Balance
2025					
Oct. 31	Adj. entry	J2	50		50
31	Closing entry	J3		50	–0–

Income Summary — No. 350

Date	Explanation	Ref.	Debit	Credit	Balance
2025					
Oct. 31	Closing entry	J3		10,600	10,600
31	Closing entry	J3	7,740		2,860
31	Closing entry	J3	2,860		–0–

Salaries and Wages Expense — No. 726

Date	Explanation	Ref.	Debit	Credit	Balance
2025					
Oct. 26		J1	4,000		4,000
31	Adj. entry	J2	1,200		5,200
31	Closing entry	J3		5,200	–0–

Illustration 4.14 (Partial): General ledger, temporary accounts

Practice Questions

True/False Question

1) ___ Net income for the period is determined by subtracting total expenses and dividends from total revenues.

2) ___ The ending retained earnings balance is reported on the statement of financial position.

3) ___ The statement of financial position is also known as the balance sheet.

True/False Question

1) ___ Net income for the period is determined by subtracting total expenses and dividends from total revenues. [F]

   Net Income = Total Revenue – Total expenses
   → Dividends are not subtracted when calculating net income. Dividends are distributions of profit after net income is dtermined

True/False Question

1) ___ Net income for the period is determined by subtracting total expenses and dividends from total revenues. [F]

   Net Income = Total Revenue – Total expenses
   → Dividends are not subtracted when calculating net income. Dividends are distributions of profit after net income is dtermined

2) ___ The ending retained earnings balance is reported on the statement of financial position. [T]

   The ending retained earnings balance appears in the equity section of the statement of financial position (balance sheet).

True/False Question

1) ___ Net income for the period is determined by subtracting total expenses and dividends from total revenues. [F]

   Net Income = Total Revenue – Total expenses
   → Dividends are not subtracted when calculating net income. Dividends are distributions of profit after net income is dtermined

2) ___ The ending retained earnings balance is reported on the statement of financial position. [T]

   The ending retained earnings balance appears in the equity section of the statement of financial position (balance sheet).

3) ___ The statement of financial position is also known as the balance sheet. [T]

   The statement of financial position is simply another term for the balance sheet, showing assets, liabilities, and equity at a specific point in time.

Completion Statements

	Assets	=	Liabilities	+	Equity
Received cash from customer in payment on account					
Purchased office equipment on credit					
Paid dividends					

Completion Statements

	Assets	=	Liabilities	+	Equity
Received cash from customer in payment on account	+, -				
Purchased office equipment on credit					
Paid dividends					

Completion Statements

	Assets	=	Liabilities	+	Equity
Received cash from customer in payment on account	+, -				
Purchased office equipment on credit	+		+		
Paid dividends					

Completion Statements

	Assets	=	Liabilities	+	Equity
Received cash from customer in payment on account	+, -				
Purchased office equipment on credit	+		+		
Paid dividends	-				-

Multiple Choice1

Equity can be described as ___

a. creditorship claim on total assets
b. ownership claim on total assets
c. benefactor’s claim on total assets
d. debtor claim on total assets

Multiple Choice1

Equity can be described as ___ [b]

a. creditorship claim on total assets
b. ownership claim on total assets
c. benefactor’s claim on total assets
d. debtor claim on total assets

Multiple Choice2

An accounting time period that is one year in length, but does **not** begin on January 1, is referred to as

___

a. a fiscal year.

b. an interim period.

c. the time period assumption.

d. a reporting period.

Multiple Choice2

An accounting time period that is one year in length, but does **not** begin on January 1, is referred to as ___ [a]

a. a fiscal year.

b. an interim period.

c. the time period assumption.

d. a reporting period.

Multiple Choice3

The balance in the Prepaid Rent account before adjustment at the end of the year is ¥15,000, which represents three months’ rent paid on December 1. The adjusting entry required on December 31 is to ___

a. debit Rent Expense, ¥5,000; credit Prepaid Rent, ¥5,000.
b. debit Rent Expense, ¥10,000; credit Prepaid Rent ¥10,000.
c. debit Prepaid Rent, ¥5,000; credit Rent Expense, ¥5,000.
d. debit Prepaid Rent, ¥10,000; credit Rent Expense, ¥10,000.

Multiple Choice3

The balance in the Prepaid Rent account before adjustment at the end of the year is ¥15,000, which represents three months' rent paid on December 1. The adjusting entry required on December 31 is to ___ [a]

a. **debit Rent Expense, ¥5,000; credit Prepaid Rent, ¥5,000.**
b. debit Rent Expense, ¥10,000; credit Prepaid Rent ¥10,000.
c. debit Prepaid Rent, ¥5,000; credit Rent Expense, ¥5,000.
d. debit Prepaid Rent, ¥10,000; credit Rent Expense, ¥10,000.